The Earnings Premium Strategy

The earnings strategy is based on harvesting the inflated premiums that are baked into option prices around earnings events. We make money because traders are willing to overpay for options when an earnings event is about to happen.

What do we do?

We sell straddles on a basket of stocks that have earnings events happening between market close today and market open tomorrow.

We make money when..

The implied move due to earnings is higher than the realized move that actually happens after the numbers come out.

We lose money when..

There is a big surprise and the stock jumps a lot more than the market thought it would.

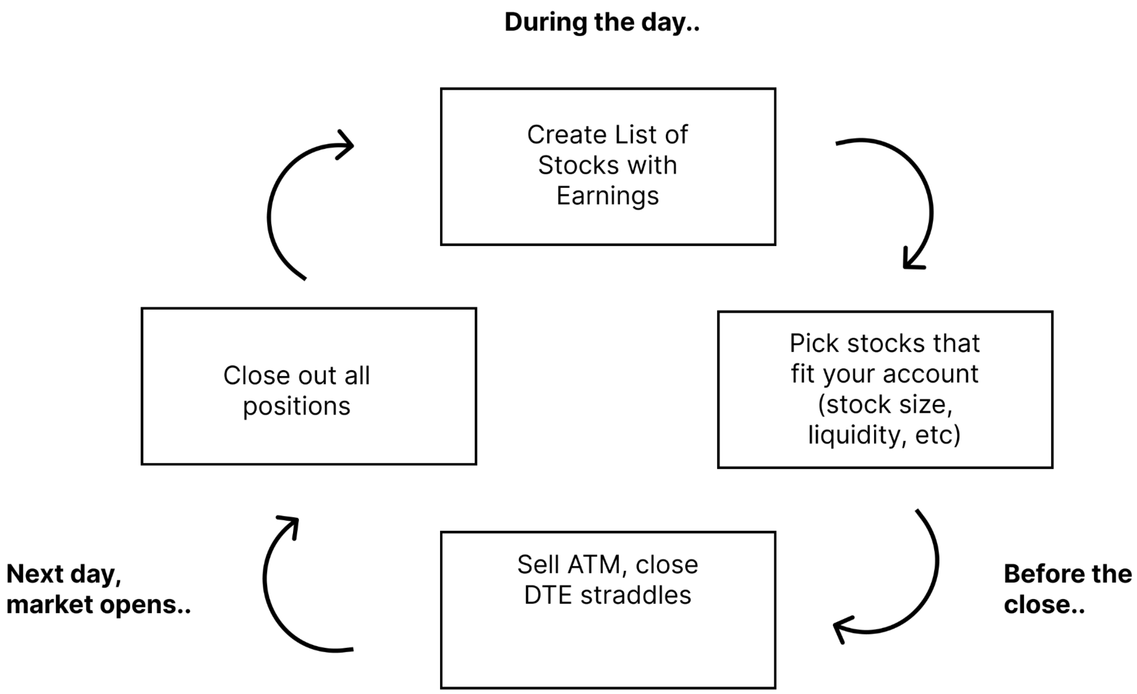
The strategy is profitable because..

We are able to take dozens of uncorrelated trades every earnings season, minimizing the impact of losing trades and allow us to extract the average premium across the tickers we trade.

Here are the 5 steps to run the strategy:

At a high level, running this strategy is very simple. Over the course of each "earnings season" (the period of time each quarter when most companies are releasing earnings information) you will use the following workflow each day:

1. Create a list of tickers with earnings today. Pick the ones you are going to trade.
2. Wait until just before market close
3. Sell delta neutral, short dated volatility on a basket of them
4. Wait until market open
5. Close out the positions that you opened.



Just like with the ETF Premium Strategy, this one is pretty straight forward. Maybe a bit less boring, but not exactly *thrilling*.

Earnings Premium Strategy performance

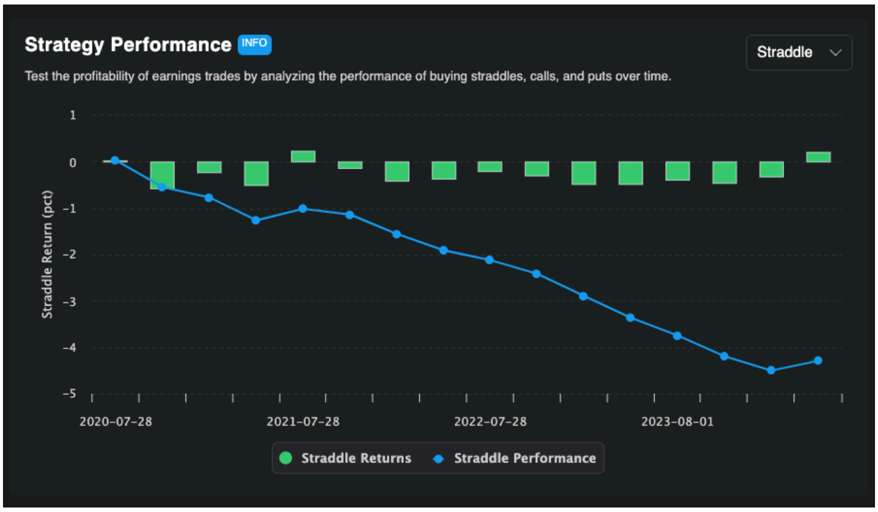
In this section we are going to go over the strategy performance. We are going to talk about the returns, drawdowns, and variance. Basically, after this section you will have a benchmark for performance so you can know if you are doing things correctly and there should be no surprises for you in the future (during upswings or downswings!)

To start, here are some back tests that show how buying options around earnings has performed for a few companies.

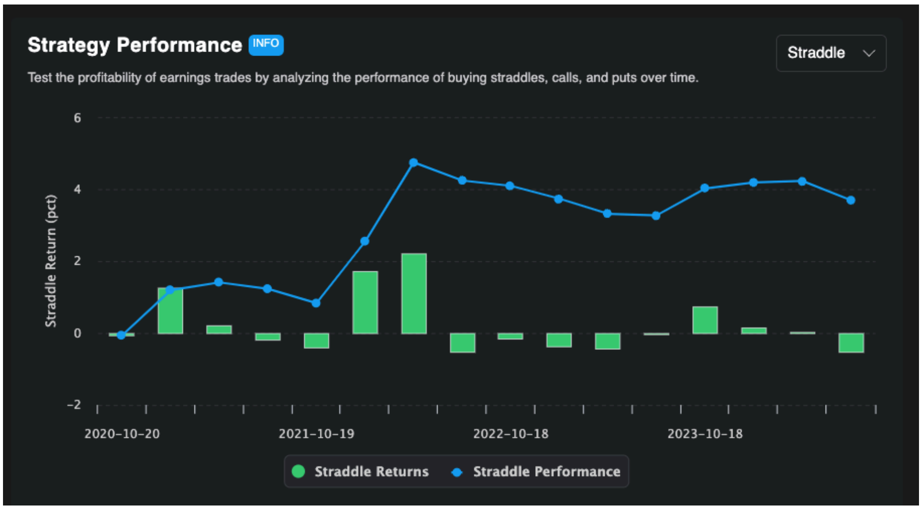
NOTE: The backtest on the earnings page is structured for being long straddles. Since you are going to be selling options, negative backtest performance is what we want to be seeing.

Here is what different backtests around earnings can look like:

$PLAY - most backtests look similar to this, where most of the time we have a small winner. Occasionally we will lose money on an earnings trade.



$PFE - a lot of charts look like this, where on each event the straddle decays slightly, resulting in a smooth PnL.



$NFLX - occasionally charts will look like this, where the market does a poor job pricing the risk premium and option sellers lose money

The key to running this strategy successfully is to trade many earnings events. As you can imagine, if we trade 50 events in an earnings season, some events will have the returns reflected in each of these charts. By diversifying across so many events, that is how we can smooth out our PnL and extract the *average risk premium* that we see across all the events. The performance of this strategy is solid. Compared to the ETF Premium Strategy, notice how this one has higher overall performance, but with higher variance too.

This is the nature of trading strategy. *There's no free money. We are getting paid more because we are holding a more substantial risk on behalf of our "clients".*

Now that you've seen the performance, let's dive into what makes this strategy tick.

The backtest looks great, but *why* does the earnings premium exist?

Following a strategy becomes a lot easier when you understand why you are getting paid, so let's talk about it.

Why do earnings events matter?

Earnings events happen 4 times a year and drive 30-70% of how much a stock moves in a given year.

It is an event where publicly traded companies release information about their performance over the last 3 months. They often use this as an opportunity to share other major updates to the business. During an earnings event, new information, which can drastically change the market's perception of the value of a company, is released.

Stock prices move a lot. And quickly. Sounds like the perfect situation for.. *insurance*.

Imagine if you were a hedge fund holding a billion dollars of a XYZ company. They are releasing earnings tomorrow and there is a chance the stock goes up or down 10%. That is a potential $100 million dollar swing in a single day. If that swing happened to be to the downside, your investors probably wouldn't be too happy. You're in the business of raising capital and charging fees. Unhappy investors pull out their money. So even though making money is great.. *You really don't want to lose any.*

So what do you do? You go into the options market and buy some insurance. *You buy a put option, for example.* This costs maybe 2% or 3%, but it covers your downside risk.

You pay someone (us) a premium in exchange for us holding the risk of a large move around earnings for you, allowing you to preserve your capital.

A car insurance analogy to help it all make sense

Earnings trading is a lot like selling insurance on cars. On any individual car, you collect what seems like a small amount of premium on a regular basis. Once in a while, a car crashes and you have to pay out a large sum.

The real magic in selling car insurance is that there are millions of cars you can insure, each with different drives and uncorrelated risk, so you can diversify your book by simply increasing the volume of cars you insure.

Earnings are exactly the same. We know that there is a premium embedded into options around earnings events. We also know that stock price changes due to earnings events are uncorrelated. This allows us to place bets across the board for companies that have earnings today and make money by collecting the "average" of their premiums over a large number of trades.

This is the core of how the earnings risk premium operates. It's a strategy that has been around for a long time and is the foundation of the success experienced by many great traders. Just like we did with the ETF VRP strategy, let's go step by step through everything you need to know to run this strategy systematically.

Is this strategy for you?

When comparing this strategy to the ETF one, there are a few things to be aware of.

1. **This strategy is much more hands-on**. You need to be available to trade at market open (to take off yesterday's earnings trades) and at market close (to put on the new positions).

2. **You also need to be willing to deal with bigger variance in your PnL**, since, just like with car insurance, sometimes cars crash and you have to pay out. There is also more nuance and skill required in order to execute and manage trades well.
3. **All this extra stuff you are dealing with pays off.** Since earnings trade can be much more volatile, it makes sense that there is more willingness from market participants to pay. What this means is that the average VRP available around earnings is higher than it is during regular times.

To state it simply, selling earnings volatility can be more profitable in absolute terms.

Here is a checklist to help you see if this strategy is something you should be trading

1. Are you able to trade for 20 minutes at market close and market open?
2. Do you have $10,000+ to allocate to this strategy?
3. Are you comfortable with large swings in your PnL (potentially multiple % daily)?

If you answered yes to these questions and the general information about the strategy I shared above makes sense to you, then you are going to get a lot of value from this strategy. By the end of this section you will have another strategy under your belt that, while slightly less boring, is equally as thorough and potentially even more profitable.

Now that we know what the strategy is, what to expect, and why it makes money, let’s move on to talking about how we actually find the trades we are going to take.